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Enhancing Female Entrepreneurship and Employment

in the MSME Sector in Gujarat



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Introduction

India has 63 million micro, small and medium enterprises (MSMEs). MSMEs already contribute around 30% to India's GDP and close to 50% of exports.¹ They account for almost 40% of India's manufacturing output and create around 11.10 crore jobs.² MSMEs have the capacity to generate employment, nurture entrepreneurship and bring in significant gains by plugging themselves into global value chains. The MSME sector in India has shown remarkable resilience even under the current trying domestic and global economic circumstances.

Another, often-overlooked contribution of the MSME sector is its potential to accelerate the economic inclusion of typically underrepresented groups, such as women. Indeed, MSMEs record a relatively higher female labour participation rate (24% in 2021) than other industries.³ However, this figure is still dismally low in absolute terms, and has stagnated over time. When it came to leadership roles in MSMEs, female participation was no more than 10% in 2021.⁴

Only 14% of all entrepreneurs are women, of which around 79% are small and self-financed.⁵

Compared to their male-owned counterparts, female-owned MSMEs are fewer in number, smaller in scale and concentrated in different industries. Around 19.7 million MSMEs are involved in manufacturing, 23 million in trade, and 20.6 million in other services. Of these, only 15 million MSMEs are women-owned and 70% of them are involved in manufacturing, particularly in textiles, apparel, handicraft, and food and beverages.⁶ Over 99 % of MSMEs come under the 'Micro' category, with only 0.52 % (or 331,000) enterprises coming under the 'Small' category, and 0.01% (or 5,000) enterprises coming under the 'Medium' category. Within these categories,⁷ no more than 20% of micro businesses, 5% of small businesses and 2% of medium-sized businesses are owned by women.⁸

In this context, we propose a roundtable focused on women in the MSME sector and

MSME Category	Share of Total	Number of Enterprises	Women-Owned
Micro	> 99%	Majority	≤ 20%
Small	0.52%	3,31,000	5%
Medium	0.01%	5,000	2%

1. Contribution of MSMEs to GDP", Ministry of Micro, Small, and Medium Enterprises, Press Information Bureau, Government of India, 9th August 2021. Release ID: 1744032. <https://www.pib.gov.in/PressReleasePage.aspx?PRID=1744032>

2. 2.2.4 Employment", Annual Report 2021-22, Ministry of Micro, Small, and Medium Enterprises, Government of India: . 28.

3. Employment Trends in MSME Sector", Ciel HR Services, 2021.

4. Ciel HR Services, 2021.

5. Global Entrepreneurship Monitor India National Report 2020-21: . 10.

6. Opportunities and constraints of women-owned very small enterprises in India", International Finance Corporation, 2022: . 4-5. <https://www.ifc.org/wps/wcm/connect/2da6ccb4-5f11-4c25-8937-5a78ed26e9ce/Opportunities-and-Constraints-of-WVSEs-in-India.pdf?MOD=AJPERES&CVID=nZG2110>

7. 2.2.1 Estimated number of MSMEs in country", Annual Report 2021-22, Ministry of Micro, Small, and Medium Enterprises, Government of India:26.

8. MSME Annual Report 2020-21.

the policy issues they face. The roundtable aims to provide a closed-door platform to discuss the opportunities and challenges associated with female entrepreneurship and workforce participation at the ground level, in order to collate policy recommendations towards improving the ecosystem for women in the MSME sector.

Challenges Faced by Women Entrepreneurs

Focus Areas⁹



FINANCIAL INCLUSION

Many women entrepreneurs tend to resort to self-financing or informal sources of finance (often with higher interest rates), due to the lack of technical know-how or insufficient credit history. A vast majority of women do not have assets in their name to leverage as collateral. High documentation requirements present a further obstacle to obtaining credit. However, the gender gap in financing is not merely due to the lack of collateral: Credit received by women is only 27% of the deposits they contribute, compared to 52% for men.



TECHNOLOGICAL GAP

Most women entrepreneurs participate in sectors requiring low technical education and start-up capital, such as traditional goods or services (crèches, health clinics, beauty parlours, dairy, handloom, etc.). Women have low representation in sectors like metallurgy, electronics, minerals, pharmaceuticals, aeronautics, etc., which require a higher level of technological sophistication and present significant barriers to entry. Women must be continually educated and qualified in all practical fields of business administration and STEM to gain technical expertise and experience.



MARKET CONNECT

Women entrepreneurs have limited access to industry contacts, professional networks, mechanisms and know-how that are necessary for running and growing a business. Women participating in MSME activities may be more active in production rather than business management and product marketing. Market linkages are poor as MSMEs are located far from consumer markets and interactions with buyers are infrequent. Women are further hindered by low geographical mobility. As a result, female-owned MSMEs are unable to scale up and are largely micro-enterprises.

9. The following papers informed our selection of focus areas: Opportunities and Challenges faced by Women Entrepreneurs in India. Gupta and Aggarwal (2015) Women's Access to Banking in India: Policy Context, Trends and Predictions. Chavan (2020) Women Entrepreneurship in Odisha: Current Status, Challenges and Future Prospects. Swagatika Nanda (2017) Gujarat | Female Entrepreneurship in the MSME Sector



REGULATORY AID

Registration is a cumbersome process: Registering a business requires compliance with various norms like GST, labour regulations, electricity load, etc., which fall under the ambit of multiple regulators. This presents a challenge not only for MSMEs as a whole, but women in particular. While there are many state and central schemes, subsidies, incentives, tax/duty exemptions, training opportunities, etc. in place to support entrepreneurs, there is a need to improve awareness and take-up to translate them into better outcomes.

Moreover, it can be argued that many of the challenges stem from the socio-cultural fabric of the society. We have lagged in terms of empowering our women. This includes, but is not limited to, stereotypes in providing education or technical training to women, limiting their role to unpaid care work, occupational sex-segregation, among others that have inhibited their growth. Socio-cultural emancipation is a pre-requisite for their growth.

Secondary Research: Challenges faced by Women Entrepreneurs in Gujarat

Mistry, Kumar, & Gandhi (2022) – Open Innovation & Women-owned SMEs

Mistry, Kumar, & Gandhi (2022) tried to ascertain how open innovation policies and technology have affected the growth of women-owned small and medium-sized enterprises (SMEs), as well as the current trends and management challenges for the successful implementation of open innovation. The results indicate that women-owned SMEs use open innovation primarily for commercial purposes, to outperform competitors and meet customer expectations. Given this, it is advised that government initiatives supporting female-owned, successful SMEs emphasise innovation.¹⁰

Rathod (2014) – Obstacles Faced by Female Entrepreneurs

Rathod (2014) highlighted some of the many obstacles faced by female entrepreneurs including financial difficulties, gender discrimination, family ties, social attitudes, lack of business knowledge and management skills, mobility constraints, low confidence, low level of risk-taking attitude, lack of education, and inadequate vocational/technical training, among other things. According to the research, women should increase their foundational understanding of business, and they should make a consistent effort to support, uplift, encourage, and collaborate with other women who are starting or have already started their own businesses.¹¹

Several research investigations have explored the obstacles encountered by female entrepreneurs as they strive for self-sufficiency. In the initial phases, financial challenges and the requirement for adept business management frequently arise. Women entrepreneurs in Gujarat, specifically, face challenges in obtaining crucial information and expertise needed for practical solutions. However, these can broadly be categorised into two categories – push and pull factors. Pull factors include the desire for self-achievement and learning which becomes a challenge since it is a gradual exercise. On the flip side,

push factors encompass gender inequality, demanding working hours, poverty, challenges in maintaining work-life balance, and instances of harassment. Despite these challenges, continued resilience and constant navigation has been one of the key attributes of women entrepreneurs in Gujarat. Consequently, women entrepreneurs are now recognized as a crucial force for economic development, generating employment and offering innovative solutions to societal issues in management and organization.¹²

MSME Sectors, Schemes, and Clusters in Gujarat

The state of Gujarat comprises of 33 districts, sub-divided into 251 talukas, having 18225 inhabited villages and 348 towns. Gujarat has a geographical area of 1.96 lakh sq. km and accounts for 6.19 % of the total area of the country. Constituting about 5% of India's population (57% urban and 43% rural), the state contributes about 8.3% to India's GDP. Recognised as an industrial state, it contributes about 18% to India's industrial output. Moreover, its secondary sector contributes about 45% in its GSVA. Gujarat is the leading state in exports with more than 30% share to India's aggregate exports. With about 63% population in the working age group, the state has a great potential to reap its demographic dividend.

Exports & Industry Share

33%

of India's total merchandise exports
— accounted for by Gujarat in the
previous year

US\$ 7,181M

Petroleum product exports (FY21)

US\$ 3,054M

Drug formulation exports (2019-20)

Sectors

Recognized as India's petroleum capital, Gujarat produced 4.6 million tonnes of crude petroleum and 1,287 million cubic meters of natural gas in 2019-20. The state's petroleum product exports amounted to US\$ 7,180.92 million in FY21. The pharmaceutical sector in Gujarat is well-developed, boasting over 3,300 manufacturing units.

10. Mistry, M. N. J., Kumar, S., & Gandhi, P. J. (2022). The Effect of Technology and Open Innovation on Women-Owned Small and Medium Enterprises in Gujarat, India. *Central European Management Journal*, 30(4), 2161-2165.

11. Rathod, M. K. (2014). A study on challenges and constraints faced by female entrepreneurs to develop business in Gujarat. *Global Journal for Research Analysis*, 1-3.

12. <http://www.marketexpress.in/2023/09/women-entrepreneurship-msme-gujarat.html>

It contributed approximately 30% to India's total pharmaceutical sector turnover and around 28% to the country's pharmaceutical exports in 2018-19. Gujarat's export of drug formulations reached US\$ 3,053.53 million in 2019-20 and US\$ 2,789.92 million in FY21. Gujarat holds the title of the world's largest producer of processed diamonds, accounting for 72% of the global processed diamond share and 80% of India's diamond exports. Additionally, the state's denim production contributes 65% to 70 % of India's total denim output, making it the

largest denim manufacturer in the country and the third largest globally.¹³ Having such a diverse industry profile, it comes as no surprise that it contributes over 8.3% to the national GDP. In the previous year, the state accounted for a remarkable 33% of India's total merchandise exports.¹⁴ Gujarat has established itself as a manufacturing powerhouse for sectors such as Auto and Auto Components, Chemicals and Petrochemicals, Drugs and Pharmaceuticals, Cement, Textiles, Engineering, Gems and Jewellery and Ceramics.

The MSME sector in Gujarat is vital for its unparalleled growth in the country. It is playing an essential role in providing opportunities and employment in the areas of Engineering, Textile, Chemical products, Plastic, Food Processing, Ceramic, Pharmaceutical, etc. MSME Gujarat aims to contribute towards the development of backward & rural areas to reduce regional imbalances and provide equitable distribution of national wealth and income. The state is becoming a significant multi-product MSME cluster in India. Recognizing the significant contribution of MSMEs to economy and employment generation, the government of Gujarat has introduced Gujarat Micro, Small and Medium Enterprises (Facilitation and Establishment and Operation) Act 2019 with the aim of facilitating ease of doing business, alongside the Industrial Policy 2020 incorporating specific interventions for development of MSMEs and increasing their export competitiveness.¹⁵

The state has identified 15 thrust sectors for industrial promotion. The sectors have been segregated into 2 categories:

CORE SECTORS

These are sectors where Gujarat already holds a leadership position in the country. The policy will give a further boost to these sectors to empower global competitiveness of Gujarat's industrial ecosystem in these sectors. It is realized that Gujarat's strong position can be capitalized to have a multiplier effect and thus achieve stronger growth.

SUNRISE SECTORS

These are sectors that are upcoming/ niche sectors in India & around the globe. This policy provides specific incentives and provisions for creating an enabling ecosystem for their establishment in the state. The intention is to make the state more competitive and lucrative than other similar regions/geographies.

13. <https://www.gujarattourism.com/about-gujarat.html>, <https://www.ibef.org/states/gujarat-presentation>

14. <https://www.thehindu.com/news/national/gujarat-has-set-target-to-become-usd-500-billion-economy-by-2026-27-cm-patel/article67722233.ece#>

15. <https://slbcgujarat.in/wp-content/uploads/2021/11/Industry-Policy-2020.pdf>

Sector Category	Sector
 Core Sector	1 Electrical Machinery 2 Industrial Machinery and Equipment 3 Auto and Auto Components 4 Ceramics 5 Technical Textiles 6 Agro and Food Processing 7 Pharmaceuticals and Medical devices 8 Gems and Jewellery 9 Chemicals (in designated areas)
 Sunrise Sector	1 Industry 4.0 manufacturing 2 Electric Vehicles and their components 3 Waste Management Projects 4 Green Energy (Solar and Wind Equipment) 5 Eco-friendly Compostable Material (substitute to traditional plastics) 6 100% export oriented units, irrespective of sector

Source: Industries Commissionerate- Gujarat Industrial Policy 2020 ([link](#))

Schemes

Over the years, Gujarat has demonstrated remarkable success in exporting industrial products. Through the 100% Export Oriented Unit (EOU) program, the state secured 1570 approvals, attracting an investment of Rs.6605 crores. As of June 30, 2009, 468 projects, with an investment of Rs.2953 crores, have been successfully implemented, while an additional 467 projects with an investment of Rs.426 crores are currently in various stages of development. Furthermore, numerous units are exporting a portion of their production internationally. Gujarat-based units contribute approximately 14% to India's total exports, excluding gems and jewellery. If the latter is included, Gujarat's overall contribution to the country's exports could exceed 25%.

The incentives to start-ups under the Gujarat Industrial Policy 2015 have supported the creation of a strong network of nodal institutions and several start-ups have expanded their operations/ products both at the national and international levels.¹⁶ Gujarat has also been recognised as the 'Best Performer' in the 'Start-up Ranking Framework' launched by The Department of Industrial Policy and Promotion (DIPP), Govt. of India in 2018.¹⁷ In 2020, The Gujarat Industrial policy was introduced to encourage R&D, start innovation and entrepreneurship and to support start-ups and innovation at different levels of the start-up cycle. Under this policy, an additional 1% interest subsidy and support upto 90% of total expenditure, among other incentives is given to women entrepreneurs to encourage and promote them. The state also brought out its own Aatma-Nirbhar Gujarat Scheme

in line with Aatma-Nirbhar Bharat Campaign, for providing assistance to MSMEs. There are currently 9525 DPIIT recognised start-ups and 4132 women led start-ups in the state.¹⁸

To enhance the global competitiveness of local industries, the State Government collaborated with the Ahmedabad Management Association (AMA) to establish the GOG-AMA Centre. Additionally, to motivate industries to tap into international opportunities, the State Government introduced an export award scheme.

The Women and Child Development Department (WCD), Government of Gujarat has also started the Mahila Swavalamban Scheme with the primary objective to provide economic upliftment to women living below the poverty line. The General Training Scheme aims at providing skill-based training to needy women either for traditional or non-traditional economic activities. From the year 2020-21, one day "Women Awareness Camp" and five days "Women Entrepreneurship Development Training" are given by the Indian Institute of Entrepreneurship Development (EDII). The women's awareness camp provides women with basic information to set up their own industry. Under this, 177 women awareness camps have been organized, in which 8261 women have been given benefits. The five-day Women Entrepreneurship Development Training Scheme equips women with the skills to start their own businesses, offering up to 10 months of ongoing support and guidance. Under this, 40 trainings have been organized and 1352 women have been given benefits.¹⁹

16. <https://www.myscheme.gov.in/schemes/sasi#sources>

17. https://ic.gujarat.gov.in/documents/commondoc/2018/Startup_Ranking_Winning_Note.pdf

18. <https://www.startupindia.gov.in/content/sih/en/state-startup-policies.html>

Clusters

List of Districts in Gujarat

Developing clusters in all industries has been in the last decade proved to be the best possible approach to strengthen them. This approach has emerged during the last decade as one of the most innovative and effective ways for small firm development among industrially developed and developing countries. The key problem the small firms faced is not due to their size but their lack of organization and inadequate linkages with other firms, demanding markets, support institutions and service providers.

Clustering of units also enables providers of various services to them, including banks and credit agencies, to provide their services more economically, thus reducing costs and improving the availability of services for these enterprises.

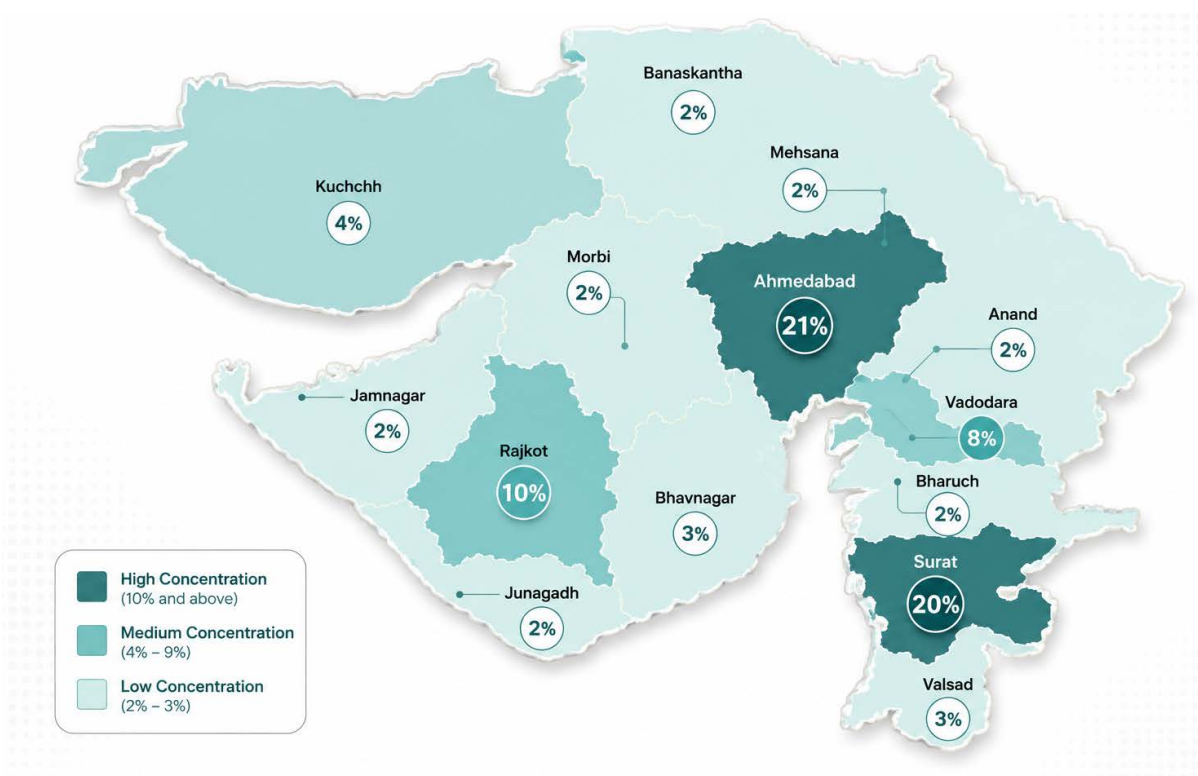
The growth of small and medium enterprises is manifested through various industrial clusters established across the state. A total of 83 industrial clusters have been identified for diverse industry groups, strategically developed at various locations. The strategy of cluster-based development

has proven effective in enhancing the cost competitiveness of industries through the establishment of shared facilities, the development of market centres, and the promotion of skill development.²⁰

'District Wise Udyam Registration Details' data by Ministry of Micro, Small & Medium Enterprises (MSME)²¹ gives a list of number of registrations across micro, small and medium enterprises in 33 different districts of Gujarat. The top 14 such districts have been highlighted in the map below with their percentages in terms of the total Udyam registrations in the state. The largest number of functional clusters is in the working capital of the state – Ahmedabad, followed by Surat, the second largest city in Gujarat. Ahmedabad, Surat and Vadodara cumulatively account for almost 50% of these registrations.

19. <https://wcd.gujarat.gov.in/posts?id=453>

20. Industries Commissionerate Government of Gujarat, <https://ic.gujarat.gov.in/cluster-development.aspx>



Source- Pahle India Foundation (PIF)

According to Industries Commissionerate, Government of Gujarat²¹, 27 important industrial clusters have been identified with their location(s). Of the 27 clusters, 9 belong to the textile industry. Gujarat Chamber of Commerce & Industries also identifies 9 out of the 38 listed as textile SME Clusters.²² The Scheme of Fund for Regeneration of Traditional Industries (SFURTI) among traditional sectors, identified the most prevalent one to be textiles with six clusters, followed by Bamboo and Coir, both at two each, and Handicraft with one such cluster.²³

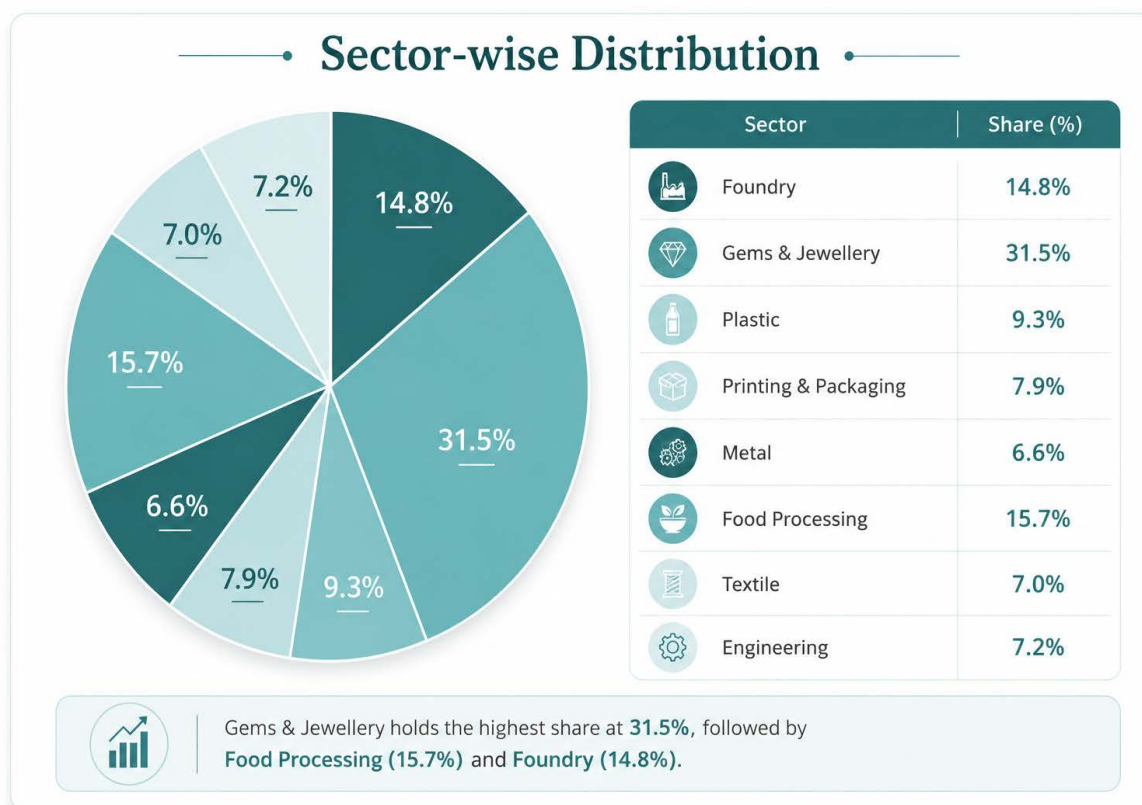
According to the Office of DC (MSME) Ministry of MSME, under the scheme 'Micro And Small Enterprises - Cluster Development Programme (MSE-CDP)', and depending upon the 'List of Common Facility Centre Projects', 14 major clusters are identified. Out of these 14, five are from Gems and Jewellery, two from Foundry, two from Food Processing, and one each from Plastic, Printing and Packaging, Engineering, Textile and Metal. The chart below depicts the same.

21. as in January 2024, https://dashboard.msme.gov.in/udyam_dist_wise.aspx?stid=24

22. <https://slbcgujarat.in/wp-content/uploads/2018/08/SME.pdf>

23. https://sfurti.msme.gov.in/SFURTI/Reports/DPR_Functional_Upto.aspx

MSME-CDP Clusters in Gujarat



Source- Office of DC, MSME, Ministry of MSME ([link](#))

Clusters of Focus

Textiles

The state of Gujarat has done a commendable job in keeping the spirit of its cultural heritage alive through its textile industry. It is also often known as the 'Textile State of India'. It generates about 3% of the country's GDP. With its traditional practices intact and good supply of readily available raw material in the state itself, the textile industry of the state employs about 90 lakh people out of which almost 50% are women. Gujarat is also known as the 'Denim Capital of India' as the state is the largest manufacturer and exporter of denim in the country and the third largest in the world. The state contributes 65%-70% to India's denim production. There are 4.5 million established spindles and 90% of weaving machinery manufacturers in Gujarat,

amounting to 30% of the woven fabric production in the state. Gujarat accounted for 37% of cotton production and 60% of cotton exports in 2022. According to Dr Chandan Chatterjee, the Director of the Centre for Entrepreneurship Development, Gujarat, there are an estimated 10,000 women actively engaged in stitching garments in and around Ahmedabad. Gujarat has many ginning, spinning, weaving and processing units. Ahmedabad is one of the most important processing sectors and Surat is India's largest manmade fabric manufacturers. These cities have many textile engineering units and even the technical textile sector is rapidly increasing in the state²⁴.

24. <https://kinaracapital.com/msmes-in-gujarat-an-overview-towards-the-states-msme-sector/>

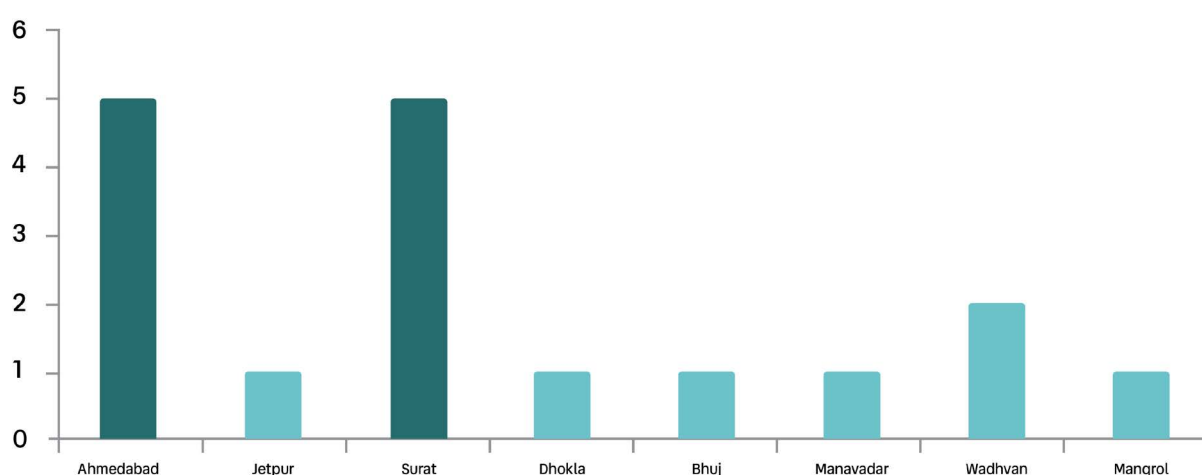
Challenges to the Textile Industry in Gujarat

- Volatile demand for textiles both nationally and internationally
- High dependence on fluctuating prices of raw material like cotton affects business
- High input costs like power and water reduces the industry's profit margins substantially.
- Competition from cheaper textile imports from foreign countries
- Lack of skill development for making better use of technological advancements in the field
- Stretched payment cycles create larger debts for businesses.

Performance of Gujarat Textile Industry in 2022²⁵

Cotton	Fibre	Fabric	Fashion	Foreign
37% of India's cotton produce	50% of India's manmade fibre production	Largest producer of synthetic fabric in India	90% weaving machinery manufacturers are established in Gujarat	30% of India's export in cotton fabrics and made-ups
60% of India's cotton export in terms of value	4.5 million established spindles in state	30% of India's woven fabric production	25% of India's technical textile output	3 operational Apparel Parks

Industrial Clusters in Gujarat



Source- Industries Commissionerate, 2024

25. <https://indiantextilejournal.com/gujarat-nurturing-a-rich-textile-culture/>

Gems and Jewellery (G&J)

The Gujarat region manufactures jewellery made of precious metals and stones (G&SJ) along with imitation jewellery. There are also a few clusters that do both. The state accounts for 66.7% share of manufacturing in total clusters. Ahmedabad, Bhavnagar, Rajkot, Surat, and Amreli are the five major clusters for manufacturing of gems and jewellery in the Gujarat region. A little less than half of the total unit clusters and exactly one-third of the worker clusters were engaged in the trade of gems and jewellery in Gujarat region. Most of the manufacturing unit clusters in Gujarat were a part of micro and small size of the MSME sector. The state's share in the total enterprises across the country in Gems

and Jewellery cluster is at a staggering 7.57%. Almost 17.5% of the total enterprises are in the rural region of the state. Total number of enterprises falling in this cluster in Gujarat is 74,908 with 18,036 in diamonds, 10,989 in handmade, 168 in machine-made and 45,716 as retailers of jewellery employing about 10 lakh workers cumulatively. Small and medium diamond processing companies from Surat have set up small units in tribal areas for training and including women in the workforce. It is estimated that such micro-scale units process diamonds valued at over Rs. 1,000 crore and earn up to Rs. 10,000 per month.²⁶

 Segment	Percentage of Segment-wise Female Employees 			Percentage of Total Enterprises Segment Wise 		
	 Diamond	 Machine-made Jewellery	 Retailer	 OAE	 <10 Employment	 >10 Employment
Gujarat	3.06	20.99	9.11	52.59	29.53	17.88

*OAE- own account enterprise, meaning that the enterprise(s) does not employ any hired workers

Source- Cluster Mapping Study of the Gems & Jewellery Sector in India, National Council of Applied Economic Research.

26. <http://www.gjsi.org/reports/IMaCS%20Gems%20and%20Jewellery%20Industry%20Report-May2014-2%20-%20Copy.pdf>

Challenges identified in Gems and Jewellery cluster in Gujarat

- About 10% of the employees in this cluster in the state are unpaid family members.
- Gujarat has a high share of employees with no formal education at 64.71%.
- The G&J sector needs skilled manpower to move from basic skills to superior skills, at about 14% of skill gap with gems (excluding diamond) and semi-precious stones.
- A need for superior technology to diversify activities in order to meet the increasing demand and to stay export-competitive, is recognised at a total technological gap of 96%.
- Resistance to upgrade and adopt new technology by workers engaged in diamond jewellery.
- Lack of finance to upgrade to better technology and train/educate workers.
- Small enterprises unable to compete with big traders.
- Non-uniformity in the market price leading to unhealthy competition in the sector.

Insights from the Gandhinagar Roundtable



Roundtable with women entrepreneurs in the Self-Employed Women's Association (SEWA).

Participants

Women entrepreneurs based in Gandhinagar, Anand, Mehsana Ahmedabad district from the textiles, construction, stationery, waste-picking, and food processing sectors.

In the state of Gujarat, many women entrepreneurs are a part of co-operative groups, ranging from 20–500 in size. These co-operative societies are registered under Gujarat Cooperative Societies Act, 1961. Every co-operative has a GR number, through which they receive tenders or contracts from governments and corporate buyers.

Grassroots organisations like the Self-Employed Women's Association play a major role in supporting female MSME entrepreneurs, by raising awareness, offering education and trainings, conducting advocacy, creating market linkages, enabling partnerships, and offering overall guidance. Members of organisations like Self-Help Groups and co-operatives are thus assured support and handholding through every stage of their entrepreneurial journey.

Opportunities

Desire for Financial Autonomy

- Being able to earn an income and support their own households motivated the neighborhood women to be gainfully employed.

Self-Confidence

- All the women entrepreneurs were highly positive about their work and their association with SEWA. Their zeal, resilience, and confidence were key drivers for their business growth.
- Financial liberation is the best means to change societal attitudes, emancipate from fear, and fight against social taboos.

Partnership with Major Corporate Buyers

- Through the co-operative, women entrepreneurs were able to integrate into the supply chains of major corporate buyers like Staples, Adani, CISCO, L'Oreal, Fabindia, Westside, etc.
- This made product demand more regular and work opportunities more readily available. There is thus a strong incentive for women to join cooperatives.

Design Training

- SEWA offers design training from NIFT to participating women entrepreneurs for a period of two years.
- Through such co-operatives, women can travel to national centers in cities like Delhi to train further in their craft.

- After receiving trainings, women entrepreneurs pass on their learnings by conducting classes of their own in Nepal, etc.

Flexibility of Jobs

- Time flexibility: The SEWA Trade Facilitation Centre (STFC) offers paid tasks to women as per their availability, even if only for 15 days at a time.
- Geographical flexibility: SEWA not only offer jobs to women entrepreneurs residing in their vicinity of Ahmedabad, but to weavers in far off locations like Kutch and Bhuj, coordinating with them to receive products over mail.

Marketing and Branding Support

- To remedy the problem of connecting to markets, the SEWA Bazaar collective platform was introduced as a nodal point for marketing and distribution. It hosts products from social enterprises in apparel, home furnishings and décor, accessories, fabrics, etc.
- Moreover, the platform builds strong brand identities and labels for local products, some of which are 'Hansiba', 'Zavarba' and 'Harkhi'. These brands have begun opening physical stores in Ahmedabad.
- 60% of the financial returns from the products go directly to artisans.

Challenges

Financial Inclusion

Lack of Ease of Access to Loans

- With many women lacking any form of collateral, the MSME entrepreneurs have limited access to loan facilities.
- Institutions that provide collateral-free loans require a lot of time for processing and other forms of documentation. For example, they ask for UDYAM registration, GST number, and quotes of business valuation.
- SEWA bank, on the other hand, provides collateral-free loans of up to 5 lakh (business loan) and up to 10 lakh (home loan), as women share their long savings history with the bank and are regular savers through the SHG or as individuals.
- SEWA bank and other financial institutions do not allow for multiple loans, even with a small ticket size. One loan must be repaid before another one can be availed.

Bureaucratic Hassles

- Banking and other financial intermediaries often make home visits to verify the candidature for loan purposes. This verification, although necessary, often consumes a lot of time and adds to the overall costs of the business.
- Government schemes like the PM Mudra Yojana are highly time-consuming, taking up to 6 months to process. One woman attempted to apply for a PM Mudra loan, but her credit history was linked to the co-operative society as a whole, and not individualized. As such, she could only access loans through the SEWA bank.
- Middlemen offer to help women entrepreneurs with the procedures of applying for government schemes, seeking a percentage of the loan amounts for themselves. In such cases, the marginal benefit of receiving the loan decreases (especially if the ticket size is already small). The procedural difficulty of scheme applications thus imposes additional costs.

Rising Cost of Raw Materials

- Over the past year, due to rising inflation, the cost of raw materials has doubled, due to which women are to maintain large amounts of inventory. Coupled with the lack of warehousing infrastructure, this renders them unable to meet customer demand readily.

Market Connect

Lack of Digital Presence

- The majority of businesses were conducted through 'word of mouth', with little or no digital presence. However, some entrepreneurs did explore the digital space such as 'Amazon' and 'Instagram' and felt its ability to expand their reach.
- MSMEs were not able to offer discounts/offers for their products on online platforms which lead to reduced acceptance by online channels.
- Women entrepreneurs found the overall process of online marketing cumbersome and technically challenging.
- Women entrepreneurs expressed interest in joining the 'GeM' and 'ONDC' platforms but needed further hand holding.

Market Presence Restricted to Local Area

- Most businesses were restricted to their local area and lacked knowledge to expand their reach. This was due to limited buyers, price competition, and lack of brand value.
- Many women were unable to travel to other cities to sell their products given household responsibilities, preferring to remain in their hometowns.

Need to Promote the Unique Value Proposition of Hand-made Products

Machine-made products possess a standardized quality, which handmade products cannot compete with. By the time hand-made products catch up to trends, the trends and demand patterns change, as they are time-consuming to create.

- There is a need to promote handloom over power loom, to change the customer's notion from 'high price compared to market rates' to 'premium price for handmade'.
- Targeted training on how to create a brand and niche is essential.

Information Asymmetry on Market Trends

- Female entrepreneurs found it difficult to keep track of latest trends in apparels/textiles. While certain products were well-received, others remained as unsellable inventory.

Coping with Competition

- A women entrepreneur expressed that she was previously the sole seller for 4-5 villages, but now there are many sellers in the same area. Her profit margins had fallen as a result. While this is good news for the cause of female entrepreneurship, individuals are feeling the brunt, and must be empowered to cope with rising competition, financially and otherwise.

Skill Development

Lack of Business Know-How

- Although women knew about their products, they were not familiar with essential business concepts like unit costs, labour productivity, hourly wages, the relevance of logistics costs, etc.
- Although women received product training, they lacked business process training on scaling up their enterprise, becoming more cost efficient, adopting new technology, and soft skills like price negotiation, proper display of products, etc.

High Attrition Rates

- There were instances where women undertook on-the-job training and thereafter left the job due to the lack of regular work. This added to SEWA's costs, since they lost their personnel, time, resources, and energy.

Regulatory Aid

Low UDYAM Registration

- Although businesses were registered with the association, many were not registered on the UDYAM portal. This led to lack of traceability and made them ineligible for certain government schemes.
- Although recent efforts have been made to onboard MSMEs on registration portals, outreach programmes to onboard micro and nano enterprises in particular are a must.

Lack of 'Point Intervention'

- Lack of 'point intervention' was unequivocally echoed across women workers. In other words, government resolution mechanisms across all paradigms (financial, market, skill, and regulation) were present through a 'centralised' process against a particular point of intervention, which made the whole resolution/aid process a time-consuming exercise.
- There is a need to ensure decentralized support within close proximity of the businesses. Block-level officers should be delegated with necessary powers to reduce the burden of both entrepreneurs and government officials.

Sector-Specific Challenges

Textiles

Lack of Regular Work:

Owing to small business operations and the lack of regular demand, the women textile workers were often employed on piece rate basis. Moreover, work was available on a discrete basis, i.e., work was available on some and not all days of a month. This was also due to peak and lean demand seasons, i.e. festive seasons saw greater demand while other seasons saw a lull in sales.



A woman weaver in SEWA.

Waste-Picking

- **Tender System Leads to Exclusion:** The rag-pickers pointed out that before the tender mechanism was adopted, they were handed the task of collecting community waste, however, the tender system led to their exclusion as it came with stringent terms and conditions. For instance, new conditions allowed closed tri-cycles as against the older open tri-cycles. Moreover, the dumping sites were shifted to faraway places which made it difficult for women workers to access.
- **Regulatory Bottlenecks:** The construction workers highlighted that the government only provided work to those who had a provision of provident fund (PF). But since SEWA is a worker's cooperative and are shareholders, they fall outside the purview of PF rules. This impacted their work since work was only provided to PF holders.

- **Occupational Sex-Segregation:** It was highlighted by the construction workers that it was relatively easier for their male counterparts to get construction work since it is a physically arduous task.

Stationery

- **Lack of Infrastructure:** Many women entrepreneurs had aspirations to grow their business and employ more women but lacked space to employ more workers. Work was often conducted in small premises with majority of the space occupied for production/inventory and limited space to accommodate more workers. A separate warehouse to stock inventory would do a great deal for the entrepreneurs. This was true for both the textile and stationery industry.



The PIF team and SEWA women entrepreneurs

Insights from the Ahmedabad Roundtable

In Gujarat, cooperatives thrive as a vibrant platform for women entrepreneurs. Most prominently, the Gujarat State Women's Self-Employed Women's Association Cooperative Federation represents the first apex body of women's cooperatives, founded in 1971. The organisation represents 3,00,000 women in 106 member cooperatives, with SEWA being the largest among them. What began as a micro enterprise has flourished over time, with the bank growing from 4000 members

at its inception to 1,24,000 members and a turnover of Rs. 340 crore today. The success of the cooperative model underscores the crucial need for a well-established collective platform to bring women entrepreneurs together to achieve holistic development and participate in the mainstream economy. Moreover, the Government of Gujarat has undertaken many initiatives at the grassroots level and built a diligent team of officers and staff dedicated to their implementation.

Nurturing Entrepreneurial Spirit

- There is a need to conduct **regular mentorship sessions to motivate and inspire** women entrepreneurs, coupled with **incentives to increase participation**.
- **Course modules dedicated to business and entrepreneurship** in the educational curriculum can inculcate and nurture entrepreneurial spirit at an early age.
- **Community-based sessions and counseling for families of women entrepreneurs** go a long way in nurturing female entrepreneurship, given the importance of family and community support for workforce participation and success.
- **Post-training handholding** of women entrepreneurs is the need of the hour. Ongoing support and guidance should be made available after the end of training sessions for meaningful, sustained impact.

Building Awareness of Government Schemes at All Levels

- To remedy widespread **lack of awareness around government schemes and application processes**, there is a need for relevant communication to percolate to all levels of society.
- **Up-to-date information** about all government schemes related to women entrepreneurship must be made easily accessible **at the taluka level** in all local languages.
- **Taluka-level officials should receive training in effective outreach. Mohalla committee meetings could serve as a key site to disseminate relevant information** on government schemes and operational procedures to those who need it.
- Interventions by the government and community-based organisations should expand their reach to **entrepreneurs at the grass-root level and those belonging to the unorganized sector**.

Enabling Market Connect

- Training sessions should be conducted to impart the digital know-how necessary for female entrepreneurs to adopt and leverage technology for business growth.
- Female entrepreneurs indicate that prerequisites for registering on the GeM portal (e.g. product quality requirements) are too stringent for handmade and handicraft products. Relaxing certain requirements to facilitate ease of registration would increase female participation and grant them access to larger markets.

Expanding the Scope of Skill Training

- Efforts should be focused on expanding the outreach of skill training programmes at the district/block level. Moreover, it should be ensured that skill training is not a one-time exercise by ensuring regular follow-ups.
- There is a great scope to leverage the strong network of local female leaders (anganwadi sisters, Self-Help Groups, village sarpanch's wife, etc.) as the first point of contact for women entrepreneurs.
- Every skill training programme should provide a post-completion certificate to serve as a proof of the acquired skill. These certificates become extremely useful when applying to different government schemes.
- Skill training programmes should be customized on the basis of local needs, i.e., there should be different programmes in different locations, as opposed to an umbrella programme for the entire state.

Improving Regulatory Ecosystem

- The government should organize regular camps at designated places to provide aid in obtaining GST registration. The scope of these camps can also include aid in obtaining import/export licenses.
- It is observed that small-scale female entrepreneurs fall short of producing a paper-trail of business activities while applying for financial aid. There is a need for special training sessions to impart financial literacy to increase financial prudence and convey the importance of maintaining 'books of accounts'.

Policy Recommendations

- Awareness programmes should be held at regular intervals across multiple stages (state, district, rural, urban, etc.) through different organizational channels (government, private, NGOs, etc.) pertaining to diverse entrepreneurial opportunities and relevant existing schemes.
- All government schemes should have a simplified or user-friendly manual (in local languages) outlining both the offerings of the scheme, the application process, and official points of contact.
- There should be a community-based facility centre to extend guidance and support to the women entrepreneurs.
- The projects of entrepreneurial training sessions need to be culturally suitable for local women. Entrepreneurial training built on local practices and trades would allow women to engage in business while meeting the needs of their community, without disturbing their immediate social fabric.
- Training sessions should extend their focus to soft skills like marketing, communication, negotiation, etc.
- Training programmes should be customized as per the demand for a skillset in each district/block, as opposed to designing a single programme for the entire state/country.
- The importance of maintaining relevant documents for business activities (GST, credit history, sales/purchase records, etc.) and obtaining authentic certifications/licenses (ISO, export licenses, among others) should be conveyed through regular camps and training sessions.



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